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Oil & Gas | North America

Executive Compensation - Pay Stays Disciplined

2026 proxy filings suggest North American E&P pay frameworks remained broadly unchanged, reinforcing continued capital discipline. Aggregate metric changes were modest y/y and driven primarily by a small number of targeted refinements. We also assess LTI design & CIC provisions.

Key Takeaways

- Compensation design remained largely stable y/y, reinforcing capital discipline rather than signaling any shift in board priorities.
- US STI plans remain most weighted toward EHS (18% of compensation), Cash Flow (18%), and Capital Efficiency (15%).
- Canadian peers place greater emphasis on EHS (24%), Production/Delivery (16%), and Operating Efficiency (14%).
- Exec comp remains heavily variable and performance-based, with LTI averaging ~75% of total pay (CEO pay 100% variable/performance-based for EQT and PR).
- Change in control payouts appear meaningful but not outsized, averaging ~2.5x CEO pay for remaining E&Ps, ~1x below recent seller medians.

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- **Joe Laetsch:** Oil Services & Equipment
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What do 2026 proxy filings suggest? Executive compensation design across North American oil & gas remained largely unchanged year-over-year, reinforcing that Boards continue to prioritize capital discipline and returns. Incentive structures appear firmly aligned with investor priorities, with little evidence of a broader pivot toward growth re-acceleration. US producers place relatively greater weight on cash

MORGAN STANLEY & CO. LLC

Devin McDermott

Equity Analyst and Commodities Strategist

Devin.McDermott@morganstanley.com

+1 212 761-1125

Joe Laetsch, CFA

Equity Analyst

Joe.Laetsch@morganstanley.com

+1 212 761-8804

Helen Lin

Research Associate

Helen.Lin@morganstanley.com

+1 212 761-0766

Svetlana Do

Research Associate

Svetlana.DO@morganstanley.com

+1 212 761-2409

Justin W Latran, CFA

Research Associate

Justin.Latran@morganstanley.com

+1 212 761-2869

Jacqueline M Kenny

Research Associate

Jacqueline.Kenny@morganstanley.com

+1 212 761-2253

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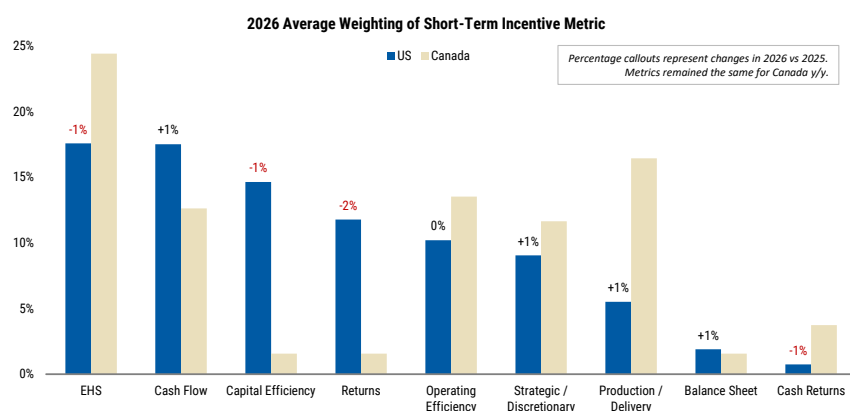
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flow, capital efficiency, and returns in short-term incentive plans, while Canadian peers skew more toward EHS and operational execution, particularly production/delivery and operating efficiency.

Several companies made incremental adjustments rather than a structural reset.

OXY replaced CROCE with FCF, **EXE** added FCF and removed capex efficiency per mcf, **CRK** replaced operating cost improvement with leverage target, **APA** replaced F&D cost and shareholder return with operating efficiency and production delivery, and **CVX** removed refinery operational availability.

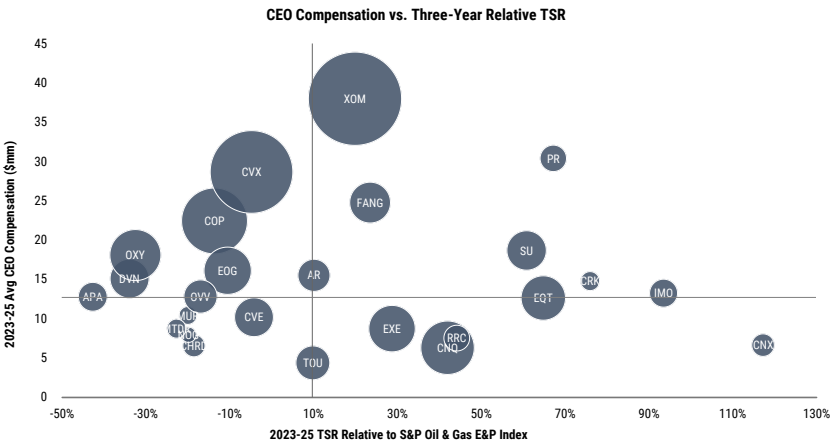
Exhibit 1: US producers place relatively greater weight on cash flow, capital efficiency, and returns, while Canadian peers skew more toward EHS and operational execution, particularly production/delivery and operating efficiency.



Source: Company filings, Morgan Stanley Research. Note: CNX, IMO, MTDR, TOU and XOM do not disclose exact weightings. Production/Delivery includes production growth, production volumes, and achievement of production guidance or targets. Returns includes ROCE, ROR, ROIC, and TSR. Cash Returns includes dividends, buybacks, and other capital returned to shareholders.

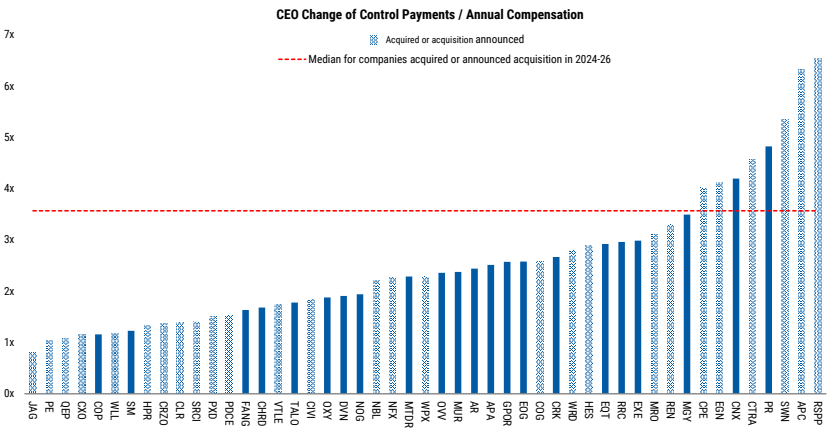
Did total shareholder returns (stock performance + dividends) translate into higher CEO pay in 2025? Only partially. While stronger relative TSR corresponded with better pay outcomes in some instances, the relationship is a bit mixed across the broader group. Overall, differences in company scale, business complexity, and incentive design appear to play a meaningful role alongside TSR performance in shaping compensation outcomes. Across our coverage, **PR, EQT, IMO** and **XOM** have the highest long-term incentive (LTI) weighting, while **MTDR, TOU, CNX** and **NOG** have among the lowest (more short-term). On average, ~75% of executive compensation is tied to LTIs.

Exhibit 2: CEO pay shows only a modest relationship with three-year relative TSR, underscoring that shareholder returns are only one input into compensation outcomes.



Source: Company filings, Morgan Stanley Research. Note: Bubble size represents 2025 production. Quadrant lines represent medians. Total Shareholder Return (TSR) is calculated as stock price appreciation plus reinvested dividends over a specific performance period.

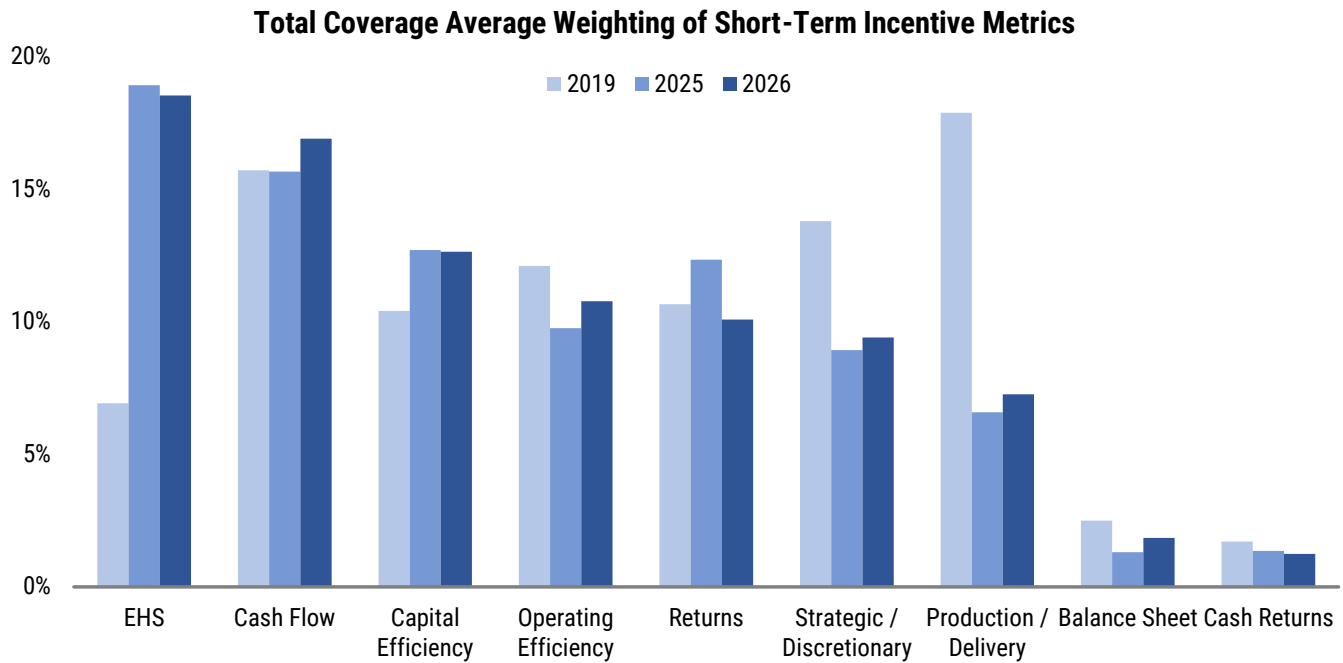
Exhibit 3: The ratio of change in control provisions to CEO annual compensation for the remaining public E&Ps is 2.5x, below recent seller medians though dispersion remains wide.



Source: Company filings, Morgan Stanley Research

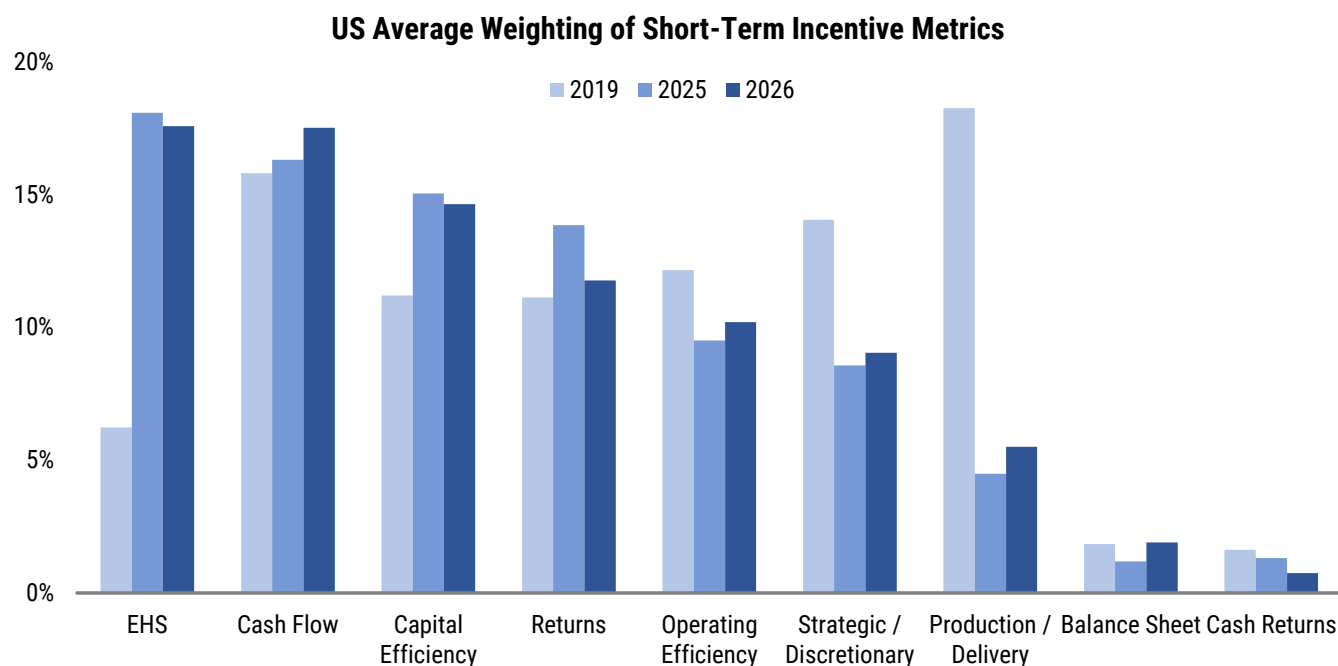
Short-Term Incentives: Stability Over Reset

Exhibit 4: STI frameworks have moved away from production and strategic goals since 2019, with greater emphasis on EHS and continued focus on cash flow and capital efficiency. Changes from 2025 to 2026 were limited.



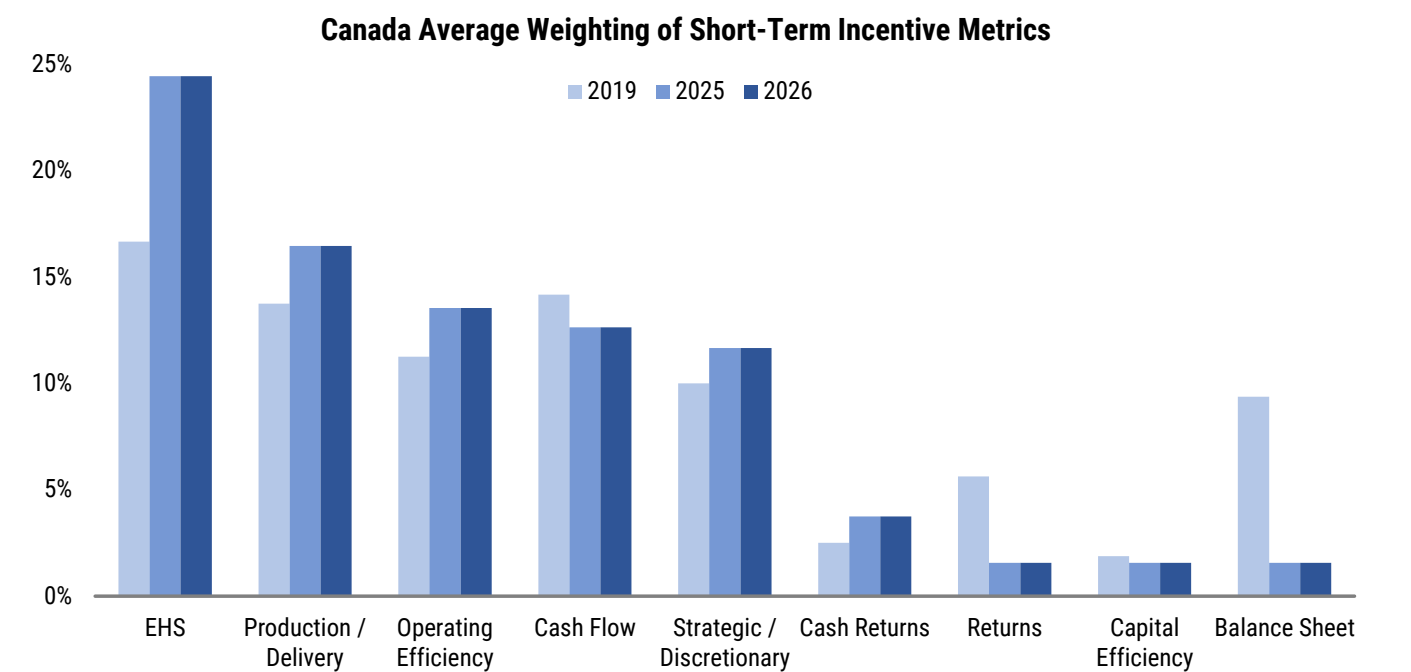
Source: Company filings, Morgan Stanley Research. Note: Metrics disclosed without exact weightings are excluded from the average. CNX, IMO, MTDR, TOU and XOM do not disclose exact weightings. Production / Delivery includes production growth, production volumes, and achievement of production guidance or targets. Returns includes ROCE, ROR, ROIC, and TSR. Cash Returns includes dividends, buybacks, and other capital returned to shareholders.

Exhibit 5: Across US producers, average STI weightings have shifted since 2019 toward EHS and capital efficiency, while production/delivery and strategic/discretionary metrics have become less prominent.



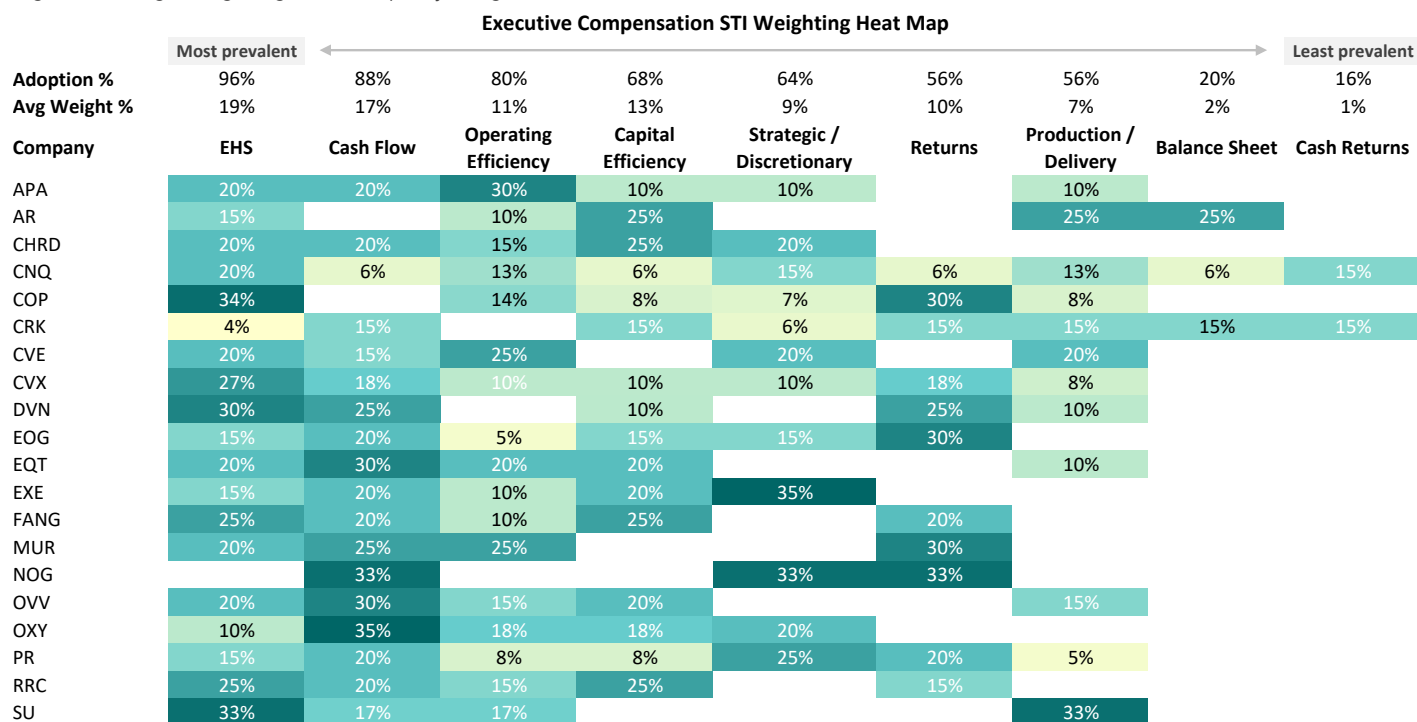
Source: Company filings, Morgan Stanley Research. Note: Metrics disclosed without exact weightings are excluded from the average. CNX, MTDR, and XOM do not disclose exact weightings. Production / Delivery includes production growth, production volumes, and achievement of production guidance or targets. Returns includes ROCE, ROR, ROIC, and TSR. Cash Returns includes dividends, buybacks, and other capital returned to shareholders.

Exhibit 6: Canadian STI design has shifted since 2019 toward EHS, production/delivery, operating efficiency, and strategic/discretionary goals, while cash flow, returns, and balance sheet metrics have become less prominent; weightings were unchanged from 2025 to 2026.



Source: Company filings, Morgan Stanley Research. Note: Metrics disclosed without exact weightings are excluded from the average. IMO and TOU do not disclose exact weightings. Production / Delivery includes production growth, production volumes, and achievement of production guidance or targets. Returns includes ROCE, ROR, ROIC, and TSR. Cash Returns includes dividends, buybacks, and other capital returned to shareholders.

Exhibit 7: EHS and cash flow remain the core STI metrics across our coverage, combining the highest adoption rates with the highest average weightings in 2026 proxy filings.



Source: Company filings, Morgan Stanley Research. Note: Adoption % reflects the percentage of companies using each metric in 2026 STI plans. CNX, IMO, MTDR, TOU and XOM do not disclose exact weightings. Production / Delivery includes production growth, production volumes, and achievement of production guidance or targets. Returns includes ROCE, ROR, ROIC, and TSR. Cash Returns includes dividends, buybacks, and other capital returned to shareholders.

Exhibit 8: Aggregate STI metric weightings changed little from 2025 to 2026, though several companies made targeted plan changes, including a shift toward FCF at OXY and EXE, a new leverage target at CRK, and greater operating and production emphasis at APA.

Change in Executive Compensation STI — 2026 vs 2025

Company	Operating Efficiency	Production / Delivery	EHS	Returns	Strategic / Discretionary	Capital Efficiency	Cash Flow	Cash Returns	Balance Sheet
APA	+10%	+10%	0%	0%	0%	-10%	0%	-10%	0%
AR	0%	0%	0%	0%	0%	0%	0%	0%	0%
CHRD	+5%	0%	0%	0%	-10%	+5%	0%	0%	0%
CNQ	0%	0%	0%	0%	0%	0%	0%	0%	0%
COP	+7%	0%	-8%	0%	+1%	0%	0%	0%	0%
CRK	-15%	0%	-2%	0%	-3%	+5%	0%	0%	+15%
CVE	0%	0%	0%	0%	0%	0%	0%	0%	0%
CVX	-0%	-4%	+4%	+6%	-0%	-0%	-6%	0%	0%
DVN	0%	0%	0%	0%	0%	0%	0%	0%	0%
EOG	0%	0%	0%	-8%	0%	+3%	+5%	0%	0%
EQT	+5%	+10%	0%	0%	0%	-5%	-10%	0%	0%
EXE	-5%	0%	0%	0%	+15%	-10%	0%	0%	0%
FANG	0%	0%	0%	0%	0%	0%	0%	0%	0%
MUR	0%	0%	0%	0%	0%	0%	0%	0%	0%
NOG	0%	0%	0%	0%	0%	0%	-0%	0%	0%
OVV	0%	0%	0%	0%	0%	0%	0%	0%	0%
OXY	0%	0%	-5%	-35%	+5%	0%	+35%	0%	0%
PR	-3%	+1%	+1%	-5%	+2%	+4%	0%	0%	0%
RRC	0%	0%	0%	0%	0%	0%	0%	0%	0%
SU	0%	0%	0%	0%	0%	0%	0%	0%	0%
US E&P	+0%	+1%	-1%	-2%	+1%	-1%	+1%	-1%	+1%
Canada	0%	0%	0%	0%	0%	0%	0%	0%	0%
US Majors	-0%	-4%	+4%	+6%	-0%	-0%	-6%	0%	0%
Total	+0%	+1%	-0%	-2%	+0%	-0%	+1%	-0%	+1%

Source: Company filings, Morgan Stanley Research. Note: CNX, IMO, MTDR, TOU and XOM do not disclose exact weightings. Production / Delivery includes production growth, production volumes, and achievement of production guidance or targets. Returns includes ROCE, ROR, ROIC, and TSR. Cash Returns includes dividends, buybacks, and other capital returned to shareholders.

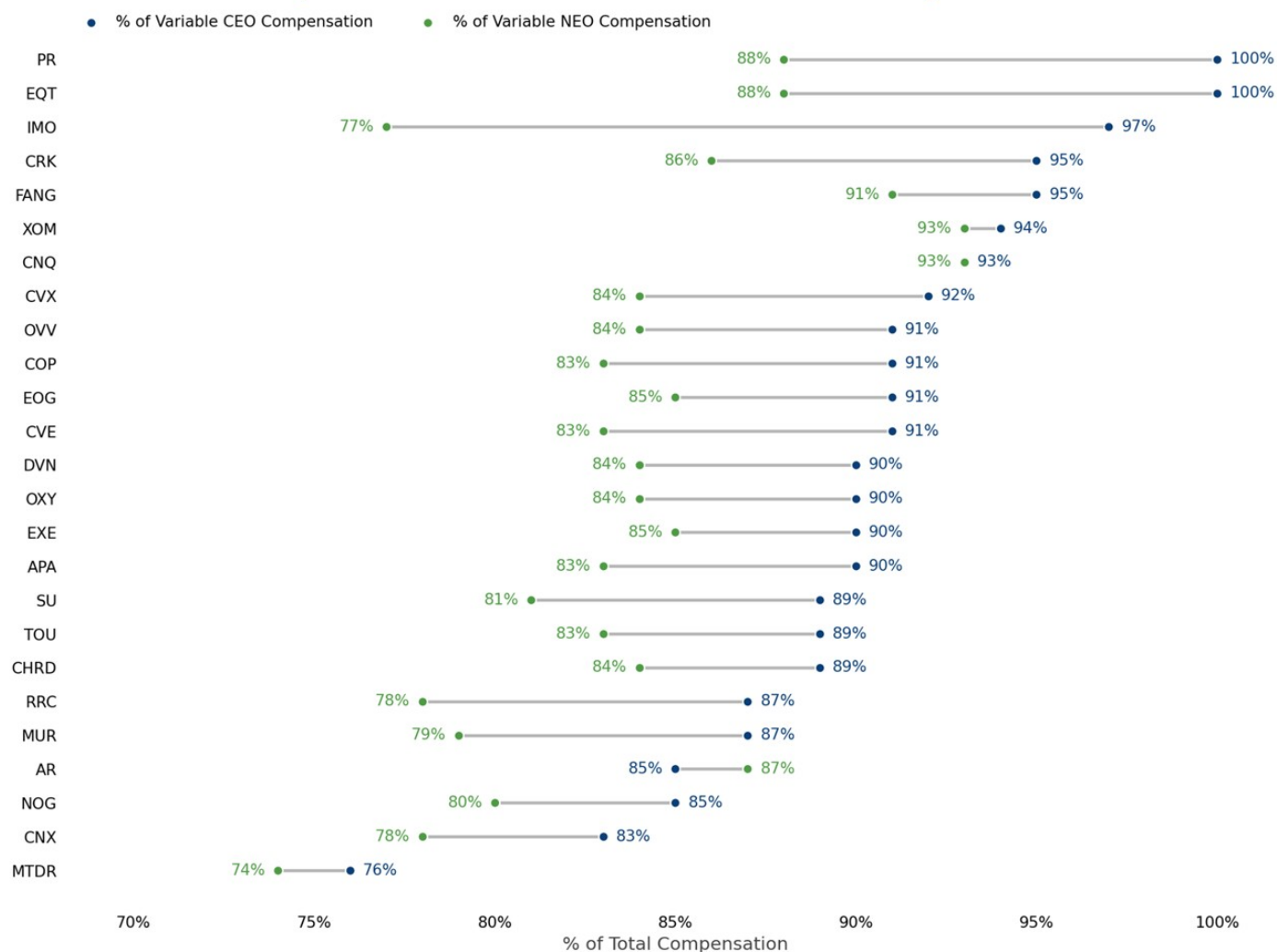
Long-Term Incentives: Performance-Based Pay Dominates

E&P executive compensation remains heavily performance-based, with long-term incentives (LTI) representing ~75% of total compensation on average and variable pay accounting for the vast majority of CEO and NEO compensation. Across our coverage, **PR**, **IMO**, **EQT**, and **XOM** have the highest LTI weighting, while **MTDR** and **TOU** have the lowest. PR's co-CEOs are 100% paid in TSR-linked equity, and nearly all of EQT CEO's compensation is variable and performance-based.

As a result, modest STI changes in 2026 did little to alter overall pay structure, with boards continuing to rely on long-term equity to drive alignment. TSR remains a core metric, with ~90% of companies incorporating three-year and/or relative TSR.

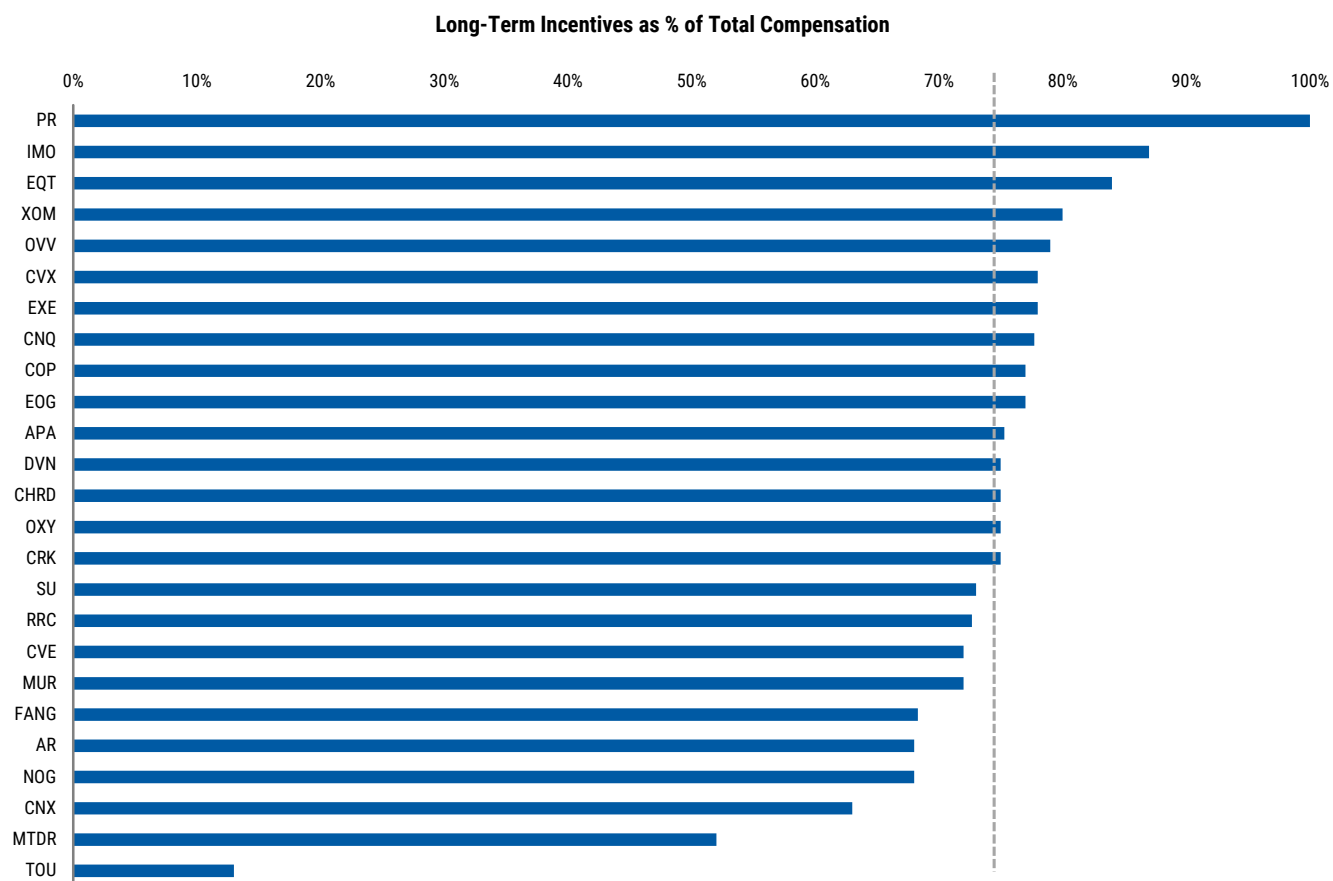
Exhibit 9: Executive compensation across E&Ps remains overwhelmingly variable and performance-based, with PR, EQT, and IMO at the high end of the group.

% of Variable Pay in CEO and Named Executive Officer Compensation



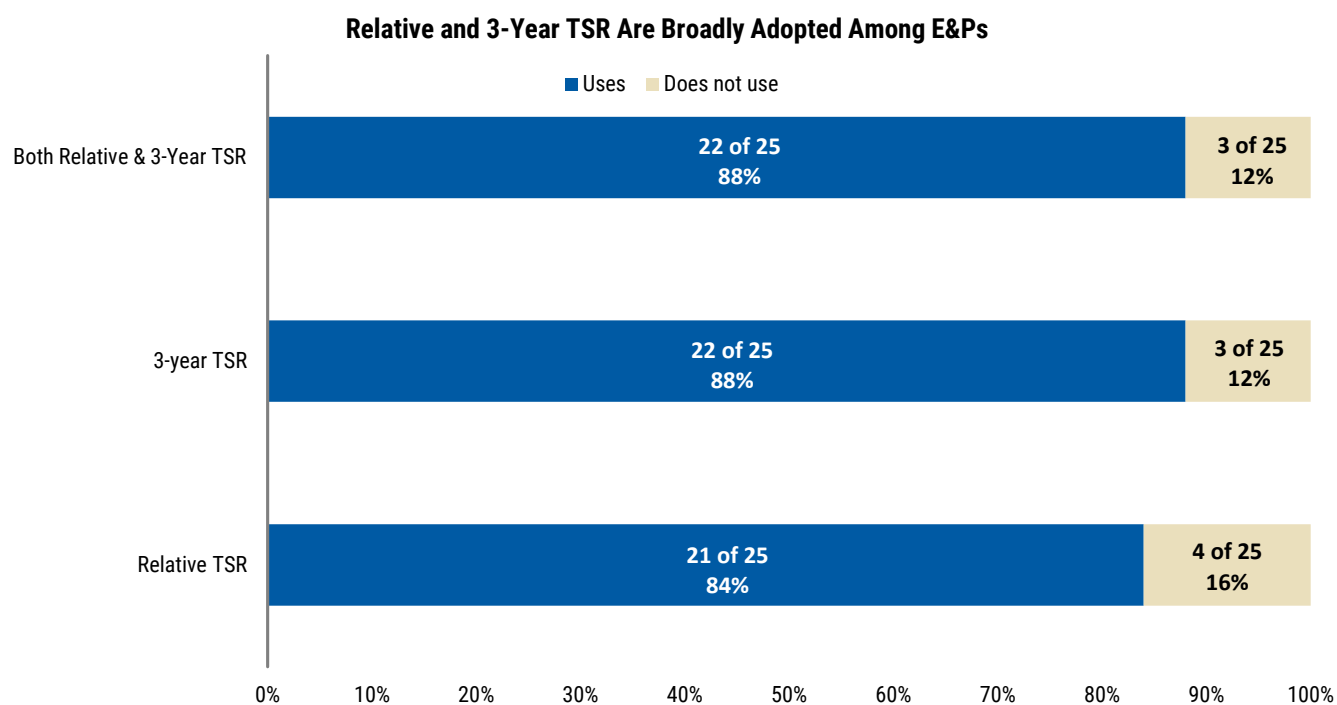
Source: Company filings, Morgan Stanley Research. NEO = Named Executive Officer

Exhibit 10: LTI accounts for roughly 75% of executive compensation on average across our coverage.



Source: Company filings, Morgan Stanley Research

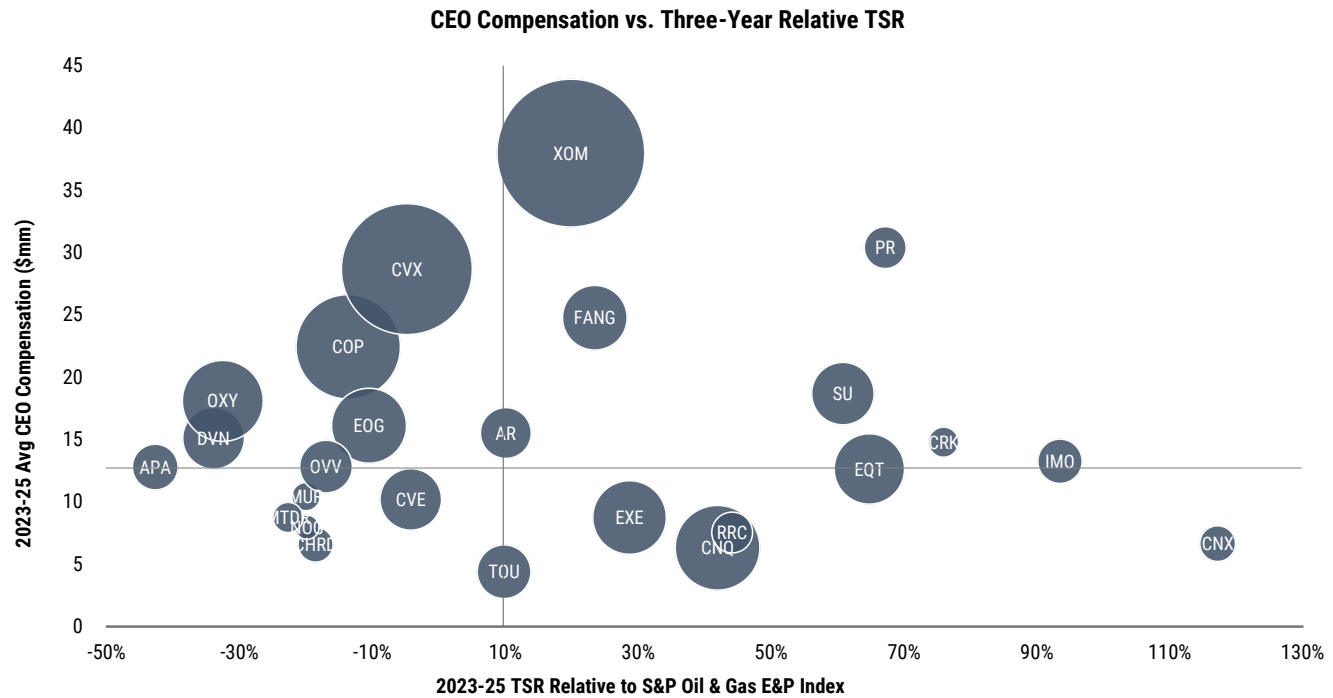
Exhibit 11: Relative TSR and three-year TSR remain broadly embedded in LTI design across E&Ps, with nearly 90% of peers using both metrics.



Source: Company filings, Morgan Stanley Research. Note: "3-Year TSR" refers to TSR measured over a three-year performance period; "Relative TSR" refers to TSR measured against a peer group, index, or benchmark.

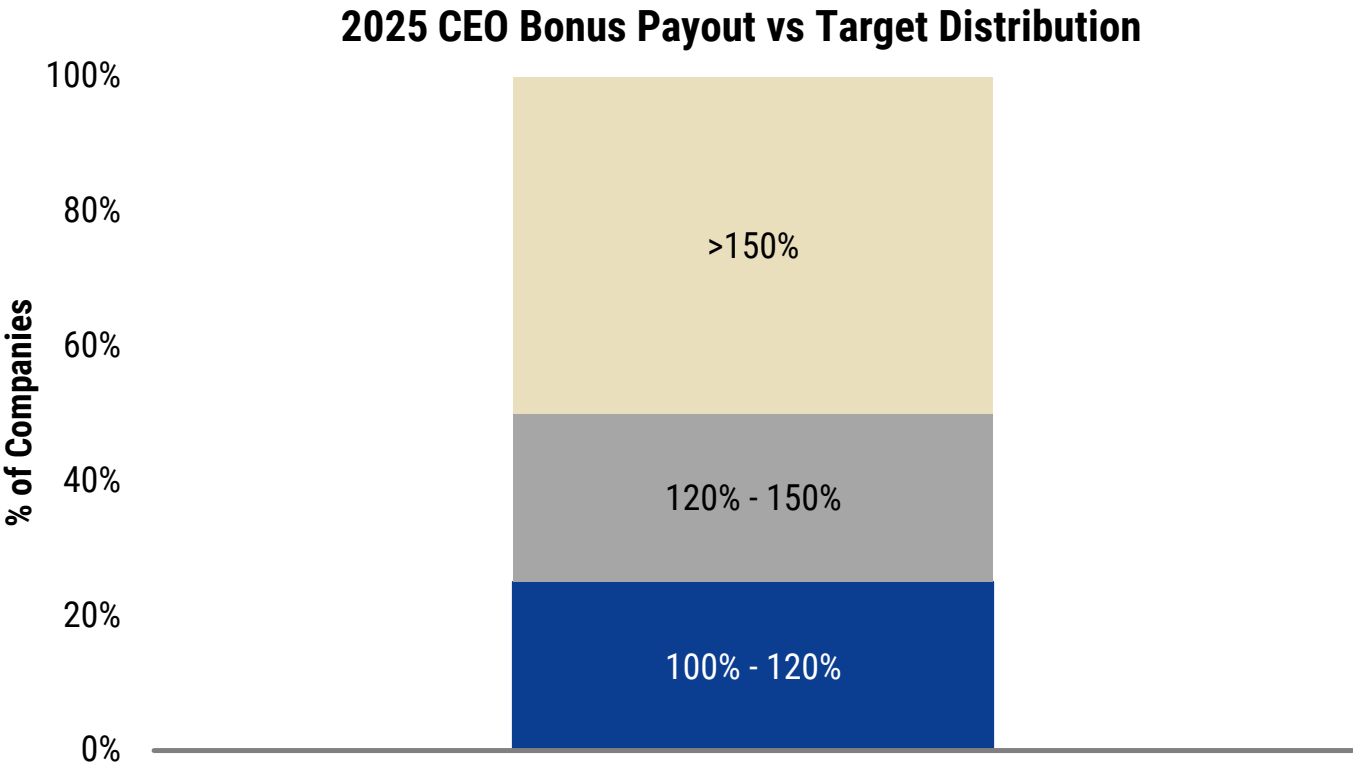
Pay Outcomes: Alignment Is Directional, Not Uniform

Exhibit 12: CEO pay shows only a modest relationship with three-year relative TSR, suggesting realized compensation continues to reflect factors beyond shareholder returns alone.



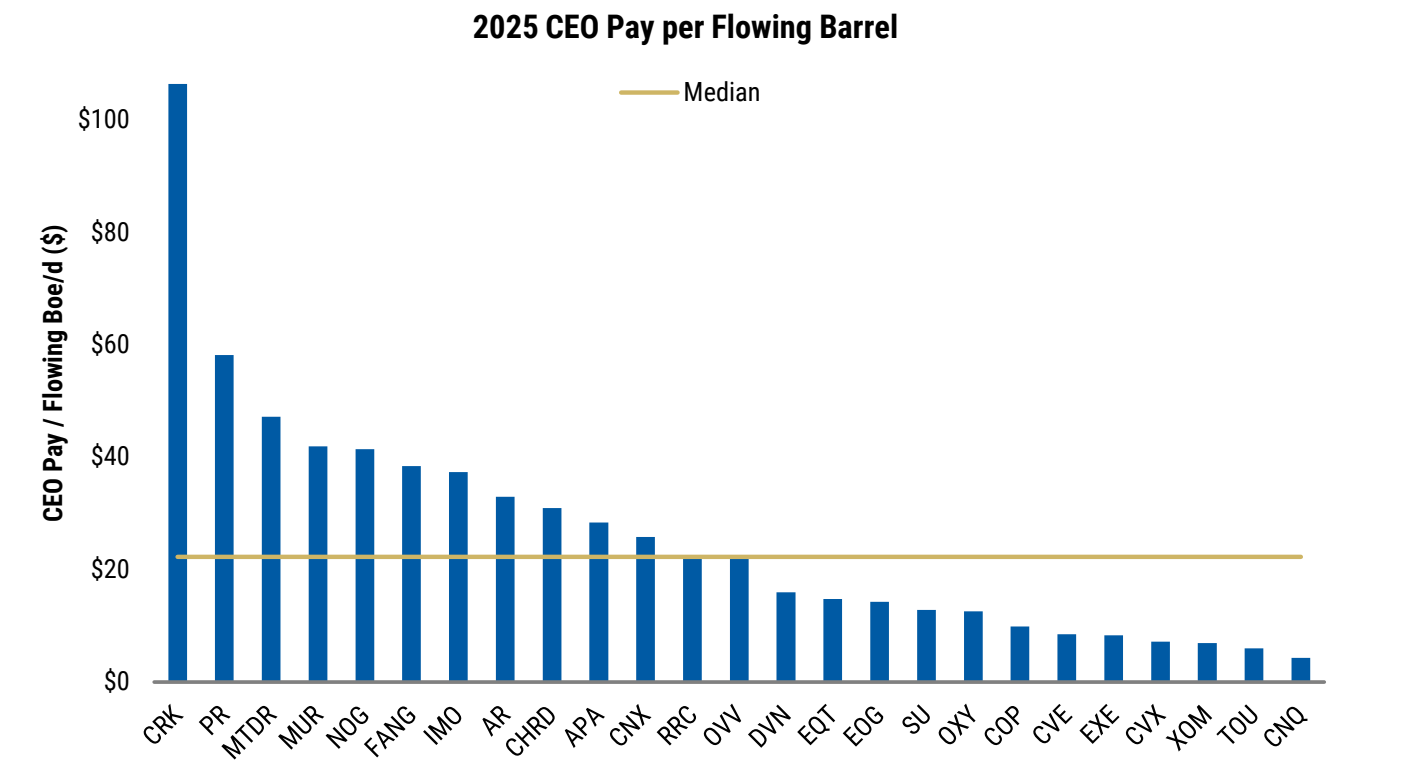
Source: Company filings, Morgan Stanley Research. Note: Bubble size represents 2025 production. Quadrant lines represent medians. Total Shareholder Return (TSR) is calculated as stock price appreciation plus reinvested dividends over a specific performance period.

Exhibit 13: 2025 CEO bonus payouts were largely delivered at or above target across the sector.



Source: Company filings, Morgan Stanley Research

Exhibit 14: CEO pay per flowing barrel varies widely across E&Ps, with smaller-scale companies generally screening above the median and larger producers below it. CRK stands out as an outlier, while CNQ, TOU, XOM, and CVX exhibit among the lowest pay intensity relative to production scale.

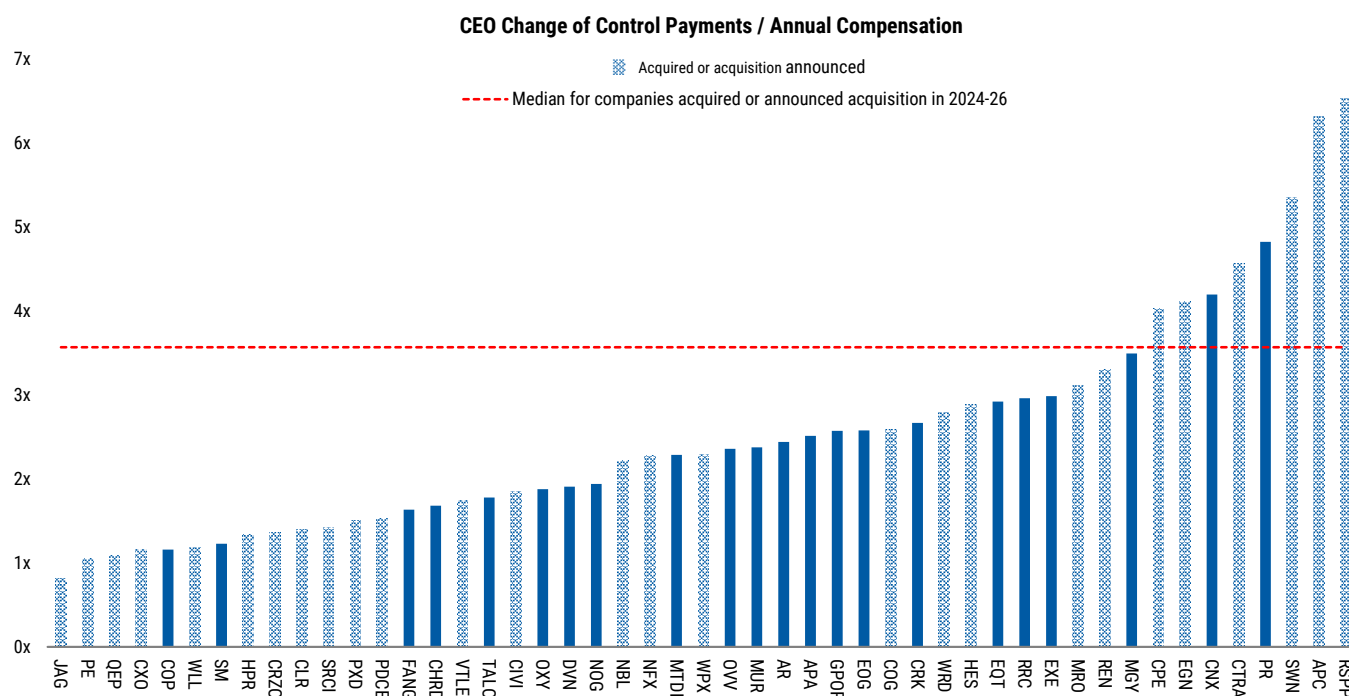


Source: Company filings, Morgan Stanley Research

CIC in a Consolidating Sector

Change-in-control (CIC) provisions remain relevant as we expect consolidation to accelerate later in 2026 driven by private exits and a maturing shale base (see [Running Out of Rock?](#)). Based on 2026 proxy filings, median CEO CIC payouts are ~2.5x annual compensation, below the ~3.6x median observed for companies involved in transactions over the past two years. **PR**, **CNX**, and **MGY** (not covered) offer the highest potential CIC payouts relative to CEO pay, while **COP**, **SM** (not covered), and **FANG** offer the lowest. Overall, CIC provisions appear meaningful enough to protect executives in a change event, but not outsized relative to historical deal precedents.

Exhibit 15: The ratio of change in control provisions to CEO annual compensation for the remaining public E&Ps is 2.5x, below recent seller medians though dispersion remains wide.



Source: Company filings, Morgan Stanley Research

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Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

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INDUSTRY COVERAGE: Exploration & Production

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/09/2026)
Devin McDermott		
Antero Resources Corp (AR.N)	O (04/17/2024)	\$34.66
APA Corp (APA.O)	U (04/15/2024)	\$36.61
Chord Energy Corporation (CHRD.O)	O (03/27/2026)	\$134.07
CNX Resources Corp (CNX.N)	U (01/10/2025)	\$33.07
Comstock Resources Inc. (CRK.N)	E (01/10/2025)	\$12.67
ConocoPhillips (COP.N)	O (12/16/2024)	\$116.79
Devon Energy Corp (DVN.N)	O (12/11/2023)	\$44.07
Diamondback Energy Inc (FANG.O)	O (12/11/2020)	\$194.24
EOG Resources Inc (EOG.N)	E (12/11/2023)	\$137.33
EQT Corp. (EQT.N)	O (11/18/2021)	\$52.69
Expand Energy Corp (EXE.O)	O (01/10/2025)	\$88.78
Matador Resources Co (MTDR.N)	E (01/10/2025)	\$53.73
Murphy Oil Corporation (MUR.N)	U (01/22/2025)	\$38.63
Northern Oil & Gas Inc. (NOG.N)	U (08/18/2025)	\$20.74
Occidental Petroleum Corp (OXY.N)	E (08/18/2025)	\$56.55
Ovintiv Inc (OVV.N)	E (03/27/2026)	\$56.59
Permian Resources Corp (PR.N)	O (01/10/2025)	\$19.20
Range Resources Corp. (RRC.N)	E (03/26/2025)	\$38.45
Tourmaline Oil Corp. (TOU.TO)	E (01/10/2025)	C\$63.03

Viper Energy Inc (VNOM.O)	O (08/18/2025)	\$45.12
Stock Ratings are subject to change. Please see latest research for each company.		
* Historical prices are not split adjusted.		

INDUSTRY COVERAGE: Integrated Energy

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/09/2026)
Devin McDermott		
Canadian Natural Resources Ltd (CNQ.TO)	E (10/07/2021)	C\$62.38
Cenovus Energy (CVE.TO)	O (10/07/2021)	C\$38.56
Chevron Corporation (CVX.N)	O (08/04/2025)	\$186.76
Exxon Mobil Corporation (XOM.N)	O (05/14/2024)	\$148.91
Imperial Oil Ltd (IMO.TO)	E (10/07/2021)	C\$165.88
Suncor Energy Inc (SU.TO)	E (12/16/2024)	C\$85.32

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* Historical prices are not split adjusted.